

This process integrates fundraising, ensuring access to necessary capital, with structured planning, enabling businesses to evaluate different scenarios and make informed decisions. A strong financial model builds investor confidence, improves negotiations, and boosts the company’s value.

1. Build a Three-Statement Financial Model

A three-statement finance model is a comprehensive financial model that includes the the followings.

Balance Sheet

A balance sheet is like a snapshot of a company’s financial position at a specific point in time. It shows what a company owns (its assets), what it owes (its liabilities), and the difference between the two, which is shareholder equity.

Assets are cash, inventory, property, equipment, and investments. Liabilities are the company’s obligations or debts, such as loans, accounts payable, and accrued expenses.

BALANCE SHEET			
December 31, 2100			
ASSETS		LIABILITIES AND SHAREHOLDERS' EQUITY	
Current assets		Current liabilities	
Cash and cash equivalents	₹ 100,000	Accounts payable	30,000
Accounts receivable	20,000	Notes payable	10,000
Inventory	15,000	Accrued expenses	5,000
Prepaid expense	4,000	Deferred revenue	2,000
Investments	10,000	Total current liabilities	47,000
Total current assets	149,000		
Property and equipment		Long-term debt	200,000
Land	24,300	Total liabilities	247,000
Buildings and improvements	250,000	Shareholders' Equity	
Equipment	50,000	Common stock	10,000
Less accumulated depreciation	(5,000)	Additional paid-in capital	20,000
Other assets		Retained earnings	197,100
Intangible assets	4,000	Treasury stock	(2,000)
Less accumulated amortization	(200)	Total liabilities and shareholders' equity	472,100
Total assets	₹ 472,100		

The balance sheet is the core one out of the three statements indicating financial stability, liquidity, and overall health. Overall, the balance sheet is a crucial tool for evaluating a business’s financial position and making informed investment decisions.